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Journal entry

Date	Particulars		L.F.	Debit `	Credit `
	Purchases A/c	Dr.		4,000	
	To Cash A/c				4,000
	(Cash purchase made)				

Example 3

Transaction: Purchased goods from Rahul for ` 10,000 on credit

Analysis: This is a credit transaction.

Transactions	Accounts involved	Nature of accounts	How affected in business	Debit / Credit
Purchased goods from Rahul for ` 10,000 on credit	Purchases A/c Rahul A/c	Nominal A/c Personal A/c	Expenses made Rahul is the giver	Debit Credit

Journal entry

Date	Particulars		L.F.	Debit `	Credit `
	Purchases A/c	Dr.		10,000	
	To Rahul A/c				10,000
	(Bought goods from Rahul on credit)				

Example 4

Transaction: Cash paid to Rahul ` 4,000

Analysis: This is a cash transaction as cash is involved.

Transaction	Accounts involved	Nature of accounts	How affected in business	Debit / Credit
Paid Rahul ` 4,000	Rahul A/c Cash A/c	Personal A/c Real A/c	Rahul is the receiver Cash goes out	Debit Credit

Journal entry

Date	Particulars		L.F.	Debit `	Credit `
	Rahul A/c	Dr.		4,000	
	To Cash A/c				4,000
	(Paid Rahul)				